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Module - I

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- Operation management
- Network techniques
- Forecasting

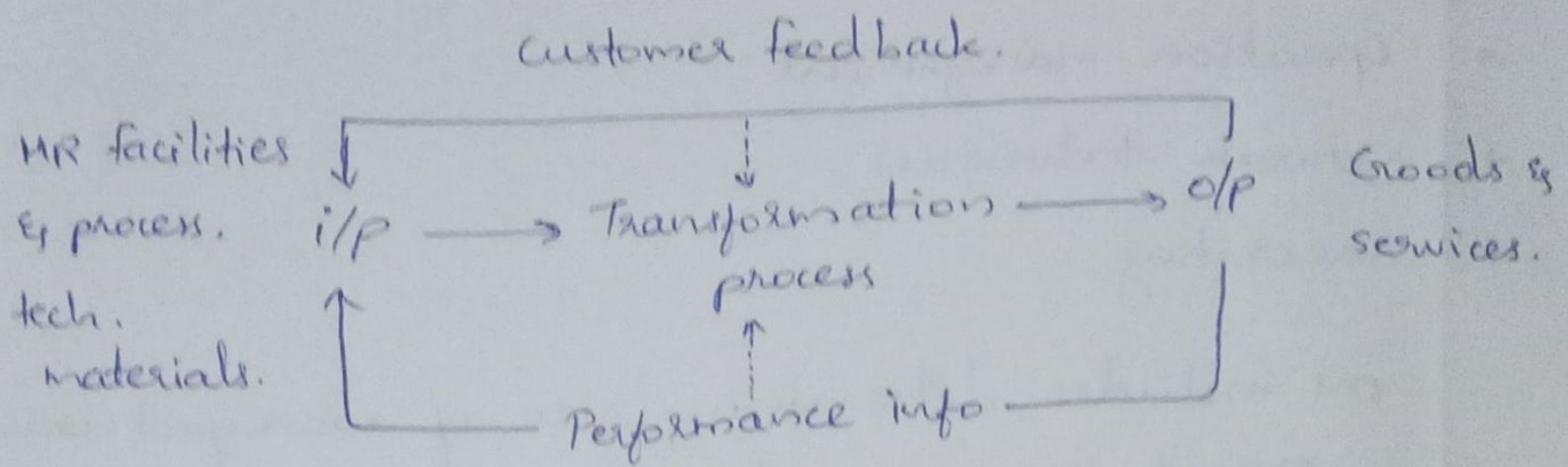
OM includes determining size of manufacturing plants & project management methods & implementing structure of IT networks.

Operational issues includes management of inventory levels including work in process level.

OM may be defined as the process which combines & transforms various resources used in the production operations of the organization into value added products or services in a controlled manner as per the policies of organization. Thus, operation functions are a part of organization which is concerned with the transformation of a range of i/p into required o/p (products & services) having a requisite quality level.

In OM, we try to ensure that the transformation process is transformed efficiently & that the o/p is of greater value than some of the i/p, i.e., the ~~role~~ role of operations is to create value.

Transformation process



Objectives.

Performance

- Productivity, efficiency,
- Effectiveness
- Quality
- Capacity utilization.
- Flexibility
- Lead time → time elapsed in conversion process.

Cost

→ visible (explicit cost).

- Material cost
- Direct & indirect labour.
- Scrap / rework cost
- Maintenance cost.

→ Implicit cost.

- Inventory carrying cost
- Lost sales, stockouts
- shortages
- Delayed deliveries.
- Material handling.
- Inspection
- Grievance
- Dissatisfaction
- Downtime.

Functions & Roles.

- Managing transportation & distribution.
- Managing & maintenance facilities.
- Conducting enterprise resources planning (ERP).
- Forecasting for planning.
- Capacity planning.
- Analyzing value chain.
- Eliminating waste & bottlenecks.
- Navigating industrial labour relations.
- Optimizing resource allocations.